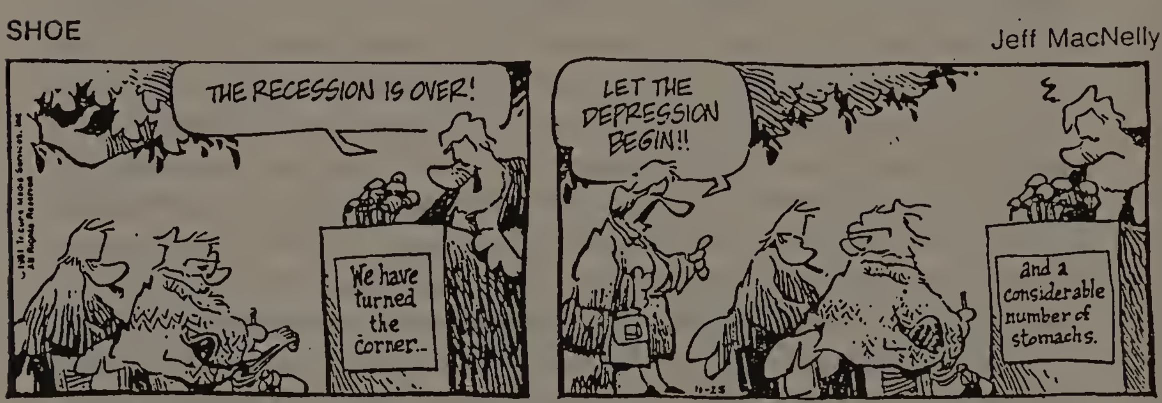
the fact that 14,000 people showed up to apply for 1000 jobs. Dunn & Bradstreet reported that 2000 companies per week were going under in the spring of 1993, and the year-end pace was still heavy at 1700 per week. IBM achieved an $8 billion loss, cut its dividend by 55%, laid off workers for the first time in 53 years, and lost its AAA credit rating by Standard & Poor's. No other U.S. economic recovery since the 1940s has produced such poor results. In the same way that a weak rally in the stock market signals that larger cycles are beginning to assert a depressive influence, this weak recovery in the economy has been a warning that the larger cycles of economic activity are rolling over and turning down.

Most economists see no connection among all the events discussed above. The conventional forecasting time horizon is only a few months, so these events are simply relegated to the past, as if irrelevant to forecasting. In fact, they are an intricate part of the present. How does the long term perspective provided by the Wave Principle help in understanding this progression of change?



A Short Term Peak Within a Long Term Slowdown

Figures 13-4 through 13-17 provide a brief tour of the economy's path in recent decades. An examination of these graphs will serve to make two points: (1) that the short term business cycle, which has been in expansion mode for four years now, is at levels compatible with a peak, and (2) more important, that the measures of expansion have traced out a series of *lower highs* leading right up to today. This lessening rate of economic progress over two or three decades indicates a *long term slowing* of the forward momentum of the economy.